# Fortitude International Reinsurance Ltd.
# Consolidated Financial Statements
## As of December 31, 2024 and 2023 and for the years ended December 31, 2024, 2023 and 2022

**Fortitude International Reinsurance Ltd.**
**Consolidated Financial Statements**
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**Consolidated Financial Statements**


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**Report of Independent Auditors**

To the Board of Directors of Fortitude International Reinsurance Ltd.

***Opinion***

We have audited the accompanying consolidated financial statements of Fortitude International Reinsurance Ltd. and its subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of income (loss), of comprehensive income (loss), of changes in shareholder's equity and of cash flows for each of the three years in the period ended December 31, 2024, including the related notes (collectively referred to as the "consolidated financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and the results of its operations and its cash flows for each of the three years in the period ended December 31, 2024 in accordance with accounting principles generally accepted in the United States of America.

***Basis for Opinion***

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

***Emphasis of Matter***

As discussed in Note 13 to the consolidated financial statements, the Company has entered into significant reinsurance transactions with affiliates of T&D Holdings, Inc., a related party. Our opinion is not modified with respect to this matter.

***Responsibilities of Management for the Consolidated Financial Statements***

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.

***Auditors' Responsibilities for the Audit of the Consolidated Financial Statements***

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to

issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers LLP

Nashville, Tennessee
April 28, 2025

**Fortitude International Reinsurance Ltd.**
**Consolidated Balance Sheets**
**(in thousands, except share data)**

| | December 31, 2024 | December 31, 2023 |
|---|---|---|
| **Assets:** | | |
| Investments: | | |
| Fixed maturity securities: | | |
| Available for sale, at fair value (amortized cost: $1,077,917 and $1,032,872 as of December 31, 2024 and 2023, respectively) (allowance for credit losses of $1,753 and $608 as of December 31, 2024 and 2023, respectively) | $ 1,085,789 | $ 1,045,329 |
| At fair value | 3,422,299 | 2,727,247 |
| Mortgage loans, at fair value | 320,086 | — |
| Other invested assets (includes $8,201 and $13,919 of assets measured at fair value as of December 31, 2024 and 2023, respectively) | 110,301 | 70,360 |
| Total investments | 4,938,475 | 3,842,936 |
| Cash and cash equivalents | 408,452 | 494,814 |
| Deferred cost of reinsurance contracts and Deferred acquisition costs | 220,963 | 242,071 |
| Loans receivable from related parties | 177,500 | 230,000 |
| Other assets | 120,010 | 75,098 |
| **Total assets** | **$ 5,865,400** | **$ 4,884,919** |
| **Liabilities and Equity** | | |
| **Liabilities:** | | |
| Policyholder contract deposits | $ 3,939,832 | $ 3,008,105 |
| Future policy benefits | 923,732 | 1,066,884 |
| Deferred gain from reinsurance contracts | 87,307 | 93,078 |
| Reinsurance payable | 127,158 | 43,485 |
| Accrued and other liabilities (includes $74,376 and $7,485 of liabilities measured at fair value as of December 31, 2024 and 2023, respectively) | 129,857 | 15,868 |
| Total liabilities | 5,207,886 | 4,227,420 |
| **Contingencies and commitments (Note 11)** | | |
| **Equity:** | | |
| Common stock - $1.00 par value; 1,250,000 units authorized, issued and outstanding as of December 31, 2024 and 2023, respectively | 1,250 | 1,250 |
| Additional paid-in capital | 620,750 | 620,750 |
| Retained earnings | 27,383 | 22,434 |
| Accumulated other comprehensive income | 8,131 | 13,065 |
| Total equity | 657,514 | 657,499 |
| **Total liabilities and equity** | **$ 5,865,400** | **$ 4,884,919** |

*See accompanying Notes to Consolidated Financial Statements.*

**Fortitude International Reinsurance Ltd.**
**Consolidated Statements of Income (Loss)**
**(in thousands)**

| | Year Ended December 31, | | |
|---|---|---|---|
| | **2024** | **2023** | **2022** |
| **Revenues:** | | | |
| Policy charges and fee income | $ 53,792 | $ 14,667 | $ — |
| Net investment income | 300,955 | 162,494 | 2,711 |
| Investment gains (losses) | (85,526) | 23,113 | (865) |
| Foreign exchange gains (losses) | (53,291) | (29,386) | (362) |
| Total revenues | 215,930 | 170,888 | 1,484 |
| **Benefits and expenses:** | | | |
| Policyholder benefits | 51,003 | 47,320 | — |
| Interest credited to policyholder account balances | 90,365 | 57,572 | 2,811 |
| General operating and other expenses | 69,613 | 39,260 | 2,975 |
| Total benefits and expenses | 210,981 | 144,152 | 5,786 |
| **Net income (loss)** | **$ 4,949** | **$ 26,736** | **$ (4,302)** |

*See accompanying Notes to Consolidated Financial Statements.*

**Fortitude International Reinsurance Ltd.**
**Consolidated Statements of Comprehensive Income (Loss)**
**(in thousands)**

| | Year Ended December 31, | | |
|---|---|---|---|
| | **2024** | **2023** | **2022** |
| **Net income (loss)** | $ 4,949 | $ 26,736 | $ (4,302) |
| **Other comprehensive income (loss):** | | | |
| Change in unrealized investment gains (losses) on fixed maturity securities available-for-sale | (4,934) | 13,065 | — |
| Total other comprehensive income (loss) | (4,934) | 13,065 | — |
| **Comprehensive income (loss)** | **$ 15** | **$ 39,801** | **$ (4,302)** |

*See accompanying Notes to Consolidated Financial Statements.*

**Fortitude International Reinsurance Ltd.**
**Consolidated Statements of Changes in Shareholder's Equity**
**(in thousands)**

| | For the Years Ended December 31, 2024, 2023 and 2022 | | | | |
|---|---|---|---|---|---|
| | Common Stock | Additional Paid-in Capital | Retained Earnings (Deficit) | Accumulated Other Comprehensive Income (Loss) | Total Shareholder's Equity (Deficit) |
| **Balance, December 31, 2021** | $ 1,250 | $ 750 | — | $ — | $ 2,000 |
| Contributed capital | — | 255,000 | — | — | 255,000 |
| Net income (loss) | — | — | (4,302) | — | (4,302) |
| **Balance, December 31, 2022** | 1,250 | 255,750 | (4,302) | — | 252,698 |
| Contributed capital | — | 365,000 | — | — | 365,000 |
| Net income (loss) | — | — | 26,736 | — | 26,736 |
| Other comprehensive income (loss) | — | — | — | 13,065 | 13,065 |
| **Balance, December 31, 2023** | 1,250 | 620,750 | 22,434 | 13,065 | 657,499 |
| Net income (loss) | — | — | 4,949 | — | 4,949 |
| Other comprehensive income (loss) | — | — | — | (4,934) | (4,934) |
| **Balance, December 31, 2024** | **$ 1,250** | **$ 620,750** | **$ 27,383** | **$ 8,131** | **$ 657,514** |

*See accompanying Notes to Consolidated Financial Statements.*

**Fortitude International Reinsurance Ltd.**
**Consolidated Statements of Cash Flows**
**(in thousands)**

| | Year Ended December 31, | | |
|---|---|---|---|
| | **2024** | **2023** | **2022** |
| **Cash flows provided by (used in) operating activities** | | | |
| Net income (loss) | $ 4,949 | $ 26,736 | $ (4,302) |
| **Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:** | | | |
| Amortization of DAC and deferred gain (cost) from reinsurance contracts | 56,633 | 30,112 | — |
| Change in fair value, other invested assets | (8,494) | (380) | — |
| Investment (gains) losses | 85,526 | (23,113) | 865 |
| Net foreign exchange (gains) losses | 53,291 | 29,386 | 362 |
| Other, net | (26,300) | (46,463) | (5,366) |
| **Changes in operating assets and liabilities:** | | | |
| Future policy benefits | (35,482) | 1,129,955 | — |
| Policyholder contract deposits | (50,836) | (955) | — |
| Derivatives, net | (82,044) | (48,014) | 403 |
| Reinsurance receivable | (33,957) | 31,455 | 3,855 |
| Reinsurance payable | 36,315 | 21,288 | — |
| Deferred cost of reinsurance contracts | — | (189,754) | — |
| Deferred gain from reinsurance contracts | — | 97,595 | — |
| Other, net | (3,300) | (9,294) | 1,344 |
| **Net cash provided by (used in) operating activities** | (3,699) | 1,048,554 | (2,839) |
| **Cash flows provided by (used in) investing activities** | | | |
| **Proceeds from the sale, maturities, and prepayments of:** | | | |
| Fixed maturity securities, available for sale | 931,614 | 288,720 | — |
| Fixed maturity securities, at fair value | 411,170 | 879,556 | 192,056 |
| Mortgage loans | 108,085 | — | — |
| Other invested assets | 36,849 | 125 | — |
| Other investments | — | 506 | — |
| **Purchases of:** | | | |
| Fixed maturity securities, available for sale | (383,150) | (1,317,954) | — |
| Fixed maturity securities, at fair value | (1,731,593) | (3,213,461) | (612,192) |
| Mortgage loans | (436,829) | — | — |
| Other invested assets | (114,700) | (45,325) | — |
| Other investments | (1) | (501) | — |
| Cash received from (loaned to) affiliates | 52,500 | (230,000) | — |
| **Net cash provided by (used in) investing activities** | (1,126,055) | (3,638,334) | (420,136) |

**Fortitude International Reinsurance Ltd.**
**Consolidated Statements of Cash Flows (continued)**
**(in thousands)**

| | Year Ended December 31, | | |
|---|---|---|---|
| | **2024** | **2023** | **2022** |
| **Cash flows provided by (used in) financing activities** | | | |
| Capital contributions | — | 365,000 | 255,000 |
| Deposits received for investment-type policyholder contract deposits | 1,632,916 | 2,511,808 | 432,440 |
| Withdrawals from investment-type policyholder contract deposits | (583,513) | (71,742) | (13) |
| **Net cash provided by (used in) financing activities** | 1,049,403 | 2,805,066 | 687,427 |
| Effect of foreign exchange rate changes on cash and cash equivalents | (6,011) | 11,111 | 1,965 |
| Net increase (decrease) in cash and cash equivalents during the period | (86,362) | 226,397 | 266,417 |
| Cash and cash equivalents at the beginning of the period | 494,814 | 268,417 | 2,000 |
| **Cash and cash equivalents at the end of the period** | **$ 408,452** | **$ 494,814** | **$ 268,417** |

| **Supplemental Disclosures of Cash Flow Information** | **2024** | **2023** | **2022** |
|---|---|---|---|
| **Cash paid during the period for:** | | | |
| Interest | $ — | $ 421 | $ — |

*See accompanying Notes to Consolidated Financial Statements.*

## 1. Nature of Operations, Basis of Presentation and Summary of Significant Accounting Policies

Fortitude International Reinsurance Ltd., a Bermuda exempted company, ("FIRL" or the "Company") is registered as a Class 4 and Class E composite reinsurance company and is primarily a reinsurer of life insurance run-off and flow business. On November 13, 2023, Fortitude International Group Holdings (“FIGH” or "Former Parent") transferred ownership of the Company to Fortitude International Limited ("FIL" or the "Parent"). FIRL is a wholly-owned subsidiary of FIL and an indirect wholly-owned subsidiary of FGH Parent, L.P. (“FGP” or the “Ultimate Parent”).

As of December 31, 2022, FGP was owned by Carlyle FRL, L.P. ("Carlyle FRL"), an investment fund advised by an affiliate of The Carlyle Group Inc. ("Carlyle"), an SEC-registered global investment firm, T&D United Capital Co., Ltd. ("T&D"), a wholly-owned subsidiary of T&D Holdings, Inc., a listed Japanese insurance group, and Corebridge Financial, Inc. ("Corebridge") following its initial public offering, an SEC-registered company, which owned interests in FGP of 71.28%, 25.93% and 2.79%, respectively. On October 2, 2023, a sovereign wealth fund (“SWF”) which previously held an indirect interest in FGP through Carlyle FRL, exercised its option to become a direct owner of FGP. As of December 31, 2024 and 2023, Carlyle FRL, SWF, T&D and Corebridge owned undiluted interests in FGP of 38.53%, 32.64%, 26.37% and 2.46% respectively.

### Basis of Presentation

The consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States ("U.S.") ("GAAP"). The accompanying consolidated statements include entities over which the Company exercises control, including majority-owned subsidiaries, in which the Company has a controlling financial interest and variable interest entities ("VIEs") for which the Company is considered the primary beneficiary. See Note 4 for additional information regarding the Company's VIEs. All intercompany transactions have been eliminated. All amounts are presented in U.S. dollars ("USD").

### Use of Estimates

The preparation of financial statements requires management to make estimates and assumptions when applying accounting policies that often involve a significant degree of judgment. The Company's accounting policies that are most dependent on the application of estimates and assumptions are those related to the determination of:

- Fair value measurements of investments, including derivatives;
- Measurement of the allowance for credit losses;
- Valuation of future policy benefits liabilities, including timing and extent of loss recognition;
- Estimates of insurance benefits incurred but for which reporting has not yet been received;
- Estimates of the remaining life of the underlying contracts, which is used as the basis for amortizing deferred gains from reinsurance contracts ("Deferred Gains"), deferred costs of reinsurance contracts ("Deferred Costs") and deferred acquisition costs ("DAC") from long duration reinsurance contracts; and
- Liabilities for legal contingencies, if any.

Additional details regarding these and other estimates and assumptions are included within the significant accounting policies and other related disclosures that follow. These accounting estimates require the use of assumptions about matters, some of which are highly uncertain at the time of estimation. To the extent actual experience differs from the assumptions used, the Company's consolidated financial condition, results of operations and cash flows could be materially affected.

### Business Risks and Uncertainties

The Company's operations are influenced by many factors, including but not limited to, general economic conditions, regulatory changes, market risks normally associated with investments, the financial condition of the cedants and risks impacting insurance liabilities.

The Company is regulated by the Bermuda Monetary Authority ("BMA"). Future changes in regulatory requirements could have an unanticipated impact on the Company.

Liquidity, interest rate, foreign exchange and credit spread risks are all market risks. Liquidity risk is the risk that the Company's financial condition will be adversely affected by the inability or perceived inability to meet short term cash, collateral or other obligations. Interest rate risk can arise from a mismatch in the interest rate exposure of assets compared to liabilities. Changes in interest rates can affect the valuation of fixed maturity securities, financial liabilities, insurance contracts and derivative contracts. Foreign exchange risk can arise from a mismatch in the foreign currency exposure of assets compared to liabilities. Changes in foreign exchange rates can affect the valuation of USD and non-USD denominated assets and liabilities. Credit spreads measure an instrument's risk premium or yield relative to that of a comparable duration, default-free instrument. Changes in credit spreads can affect the valuation of fixed maturity securities, including but not limited to corporate bonds, asset-backed securities, mortgage-backed securities and credit derivatives.

Market risk is monitored and managed using an asset-liability management framework. For both assets and liabilities, market risk exposures are measured in terms of sensitivities to changes in the relevant risk factors. In addition, the Company performs stress testing on these market risk factors to capture concentration risks to a single market risk factor change as well as simultaneous multiple market risk factor changes, to understand the net impact on exposure from impacts on both assets and liabilities.

The Company's insurance liabilities are exposed to policyholder behavior risk and mortality/longevity risk. Longevity risk is the risk of a change in value of a policy or benefit as a result of actual mortality experience being lower than the expected mortality assumed at the time of underwriting. The Company manages this risk through ongoing monitoring and assessment of such experience relative to underlying assumptions, which include those relative to mortality and morbidity.

**Reclassifications**

Certain prior period amounts have been reclassified to conform to the current period presentation.

**Summary of Significant Accounting Policies**

The following summarizes the Company's significant accounting policies.

**Fair Value Option**

The fair value option ("FVO") provides entities with an option to use fair value as the initial and subsequent accounting measurement for assets and liabilities that meet the definition of a financial asset or liability. The decision to elect the FVO is determined on an instrument-by-instrument basis and is applied to an entire instrument. The decision is irrevocable once elected. The Company has made this election for certain investments, as it improves operational efficiency and better aligns the recognition and measurement of those investments with the associated reinsurance activity with how the business is managed. Refer to Note 3 for more information on the Company's FVO elections.

**Investments**

*Fixed maturity securities available for sale, at fair value*: fixed maturity securities designated as available for sale ("AFS") are carried at fair value.

AFS fixed maturity securities are recorded on a trade-date basis, with any unsettled trades recorded in other assets or other liabilities on the consolidated balance sheets. Interest income, including amortization of premium and accretion of discount, is determined using the effective yield method. Interest income, amortization of premium, accretion of discount, and prepayment premiums are reported in net investment income in the consolidated statements of income (loss).

Yields on AFS fixed maturity securities are determined based on the fixed maturity type. Premiums and discounts arising from the purchase of bonds are treated as yield adjustments over their estimated holding periods, until maturity, or call date, if applicable.

*Unrealized gains (losses) and impairment - subsequent to adoption of Financial Instruments - Credit Losses ("CECL") on January 1, 2023:* Unrealized gains and losses from AFS fixed maturity securities are reported as a separate component of accumulated other comprehensive income (loss) ("AOCI"), net of deferred income taxes, with changes in estimated credit losses recognized in investment gains (losses).

On a quarterly basis, the Company reviews its AFS fixed maturity securities portfolio to determine whether a decline in fair value below amortized cost (i.e., impairment) of an AFS debt security is due to credit-related or noncredit-related factors. Any impairment that is not credit-related is recognized in other comprehensive income (loss). Credit related impairment is recognized in earnings through a contra-asset allowance account, unless the Company intends to sell before recovery. If the Company intends to sell the debt security, or it is more likely than not the Company will be required to sell the security before recovery of its amortized cost basis, any allowance for credit losses is written off and the amortized cost basis is written down to the debt security's fair value. Accrued interest is excluded from the measurement of the allowance for credit losses.

When determining whether a credit loss exists, the Company estimates the expected credit losses based on a discounted cash flow method, using effective interest rates to discount the expected cash flows associated with each debt security to determine its fair value, which is then compared with its amortized cost basis to derive the credit loss on the security. The methodology and inputs used to determine the credit loss by security type are as follows:

For corporate, municipal and sovereign fixed maturity securities, the Company considers:

- Expected default rates and the timing of such defaults;
- Loss severity and the timing of any recovery; and
- Scenarios specific to the issuer and the security, which may also include estimates of outcomes of corporate restructurings, political and macroeconomic factors, stability and financial strength of the issuer, the value of any secondary sources of repayment and the disposition of assets.

For structured fixed maturity securities (e.g., commercial mortgage backed securities ("CMBS"), collateralized debt obligations ("CDO") and asset-backed securities ("ABS")), the Company considers the historical performance of underlying assets and available market information as well as bond-specific structural considerations, such as credit enhancement and the priority of payment structure of the security. In addition, the process of estimating future cash flows includes, but is not limited to, the following critical inputs, which vary by asset class:

- Current delinquency rates;
- Expected default rates and the timing of such defaults;
- Loss severity and the timing of any recovery; and
- Expected prepayment speeds.

*Unrealized gains (losses) and impairment - prior to adoption of CECL:* Unrealized gains and losses from AFS fixed maturity securities, were reported as a separate component of AOCI, net of deferred income taxes.

On a quarterly basis, the Company reviewed its AFS portfolio for potential other-than-temporary impairments which would require that affected securities be written down to an adjusted cost basis with the amount of the write-down recorded as part of investment gains (losses) in the consolidated statements of income (loss). The Company reviewed its AFS investment portfolio for market value changes to identify changes caused by issuer credit deterioration, changes in market interest rates and changes in economic conditions. If this review indicated a decline in fair value that was other-than-temporary, the Company's carrying amount in the investment would be reduced to its estimated fair value as an other-than-temporary impairment. In accordance with GAAP guidance the estimated credit versus non-credit components of the other-than-temporary impairment would be bifurcated. The credit component would be recorded in earnings and result in the establishment of a new cost basis for the security. The non-credit component would be reclassified as unrealized loss in other comprehensive income (loss). The Company would not recognize impairment of securities due to changing of interest rates or market dislocations unless the Company had the intent to sell the securities prior to recovery or maturity.

The Company considered a number of factors in determining whether the impairment was other-than-temporary. These may have included, but were not limited to: 1) actions taken by rating agencies; 2) default by the issuer; 3) the significance of the decline in fair value; 4) the intent and ability to hold the investment until recovery; 5) the time period during which the decline had occurred; 6) an economic analysis of the issuer's industry; and 7) the financial strength, liquidity, and recoverability of the issuer. Management performed a security-by-security review in evaluating the need for any other-than-temporary impairments. Although no set formula was used in this process, the investment performance, collateral position, and continued viability of the issuer were significant measures considered.

*Fixed maturity securities, at fair value*: The Company's fixed maturity securities for which the FVO has been elected are reported on the consolidated balance sheets as fixed maturity securities, at fair value. Realized and unrealized gains and losses on fixed maturity securities are reported in investment gains (losses) on the consolidated statements of income (loss).

Fixed maturity securities are recorded on a trade-date basis, with any unsettled trades recorded in other assets or other liabilities on the consolidated balance sheets. Interest income, including amortization of premium and accretion of discount, is determined using the effective yield method. Interest income, amortization of premium, accretion of discount, and prepayment premiums are reported in net investment income in the consolidated statements of income (loss).

*Mortgage loans, at fair value*: The Company has elected the FVO on the entirety of the residential mortgage loans portfolio. Realized and unrealized gains and losses on these investments are reported in investment gains (losses) on the consolidated statements of income (loss).

*Other invested assets - Private equity funds, limited partnerships and limited liability companies ("LP/LLCs"):* LP/LLC interests are accounted for using either the equity method of accounting, or at fair value if the Company elects the FVO. LPs/LLCs are recorded within other invested assets on the consolidated balance sheets. The Company uses the net asset value ("NAV"), a permitted practical expedient, as an estimate of fair value when the fair value is not readily available for the Company's LPs/LLCs. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three-month lag. The Company consolidates LPs/LLCs in certain other instances where it is deemed to exercise control, or is considered the primary beneficiary of a VIE (See Note 4). Contributions to and distributions from these investments are recorded in the period in which the transaction occurred. Changes in fair value of other invested assets are reported in net investment income.

*Other invested assets - Derivative instruments*: Derivatives are financial instruments whose values are derived from interest rates, foreign exchange rates, financial indices, values of securities or commodities, credit spreads, market volatility, expected returns, and liquidity. Values can also be affected by changes in estimates and assumptions, including those related to counterparty behavior and non-performance risk ("NPR") used in valuation models. Derivative financial instruments generally used by the Company include swaps, futures, forwards and options and may be exchange-traded or contracted in the over-the-counter ("OTC") market. Certain of the Company's OTC derivatives are cleared and settled through central clearing counterparties, while others are bilateral contracts between the Company and a counterparty. Derivative positions are carried at fair value, generally by obtaining quoted market prices or a third-party valuations.

The Company uses currency derivatives to reduce exposure to foreign currency associated with assets held or expected to be purchased or sold, and liabilities incurred or expected to be incurred.

The Company does not elect to apply hedge accounting for derivative instruments. Accordingly, all realized and unrealized changes in fair value of derivatives are recorded in investment gains (losses) or foreign exchange gains (losses) on the consolidated statements of income (loss). Cash flows from derivatives are reported in the operating activities section in the consolidated statements of cash flows.

Derivatives are recorded either as assets, within other invested assets, or as liabilities, within accrued and other liabilities. The Company nets the fair value of all derivative financial instruments on the balance sheet where there is a master netting arrangement that has been executed and if the Company has the right of offset (See Note 5). Cash collateral posted in excess of derivative liabilities and cash collateral received in excess of derivative assets are recorded within other invested assets and accrued and other liabilities, respectively.

**Cash and Cash Equivalents**

Cash and cash equivalents include cash on hand, amounts due from banks, certain money market investments, funds managed similar to regulated money market funds and other debt instruments with maturities of three months or less when purchased.

**Reinsurance**

The Company assumes long duration insurance and investment contracts under coinsurance arrangements. The Company follows reinsurance accounting for assumed transactions that provide indemnification against loss or liability relating to insurance risk (risk transfer). To meet risk transfer requirements, a reinsurance agreement must include both insurance risk consisting of both underwriting and timing risks, and a reasonable possibility of a significant loss. The mortality and timing risks related to certain whole life ("WL") blocks of business transferred to the Company are subject to reinsurance accounting.

If the Company determines that a contract lacks significant mortality risk and thus could not achieve risk transfer, the Company records the contract using the deposit method of accounting. Any net amount receivable is reflected as an asset within reinsurance receivables, recorded within other assets, and any net amount payable reflected as a liability within reinsurance payables. Deposits received on investment-oriented products are not recognized as revenues, because they are recorded directly to policyholder contract deposits upon receipt.

Reinsurance receivables, recorded in other assets, includes contractual balances due from ceding companies. Reinsurance payables include unpaid claims which are based upon estimates of payments to be made for claims incurred whether reported or unreported. Reinsurance payables also include net settlements due to ceding companies and accrued interest on policyholder contract deposits which is accrued outside the account value as it is due to the ceding company. The Company generally has the right of offset on reinsurance contracts and has elected to present reinsurance settlement amounts due to and from the Company on a net basis.

Accounting for reinsurance requires the use of assumptions, particularly related to the future performance of the underlying business and the potential impact of counterparty risks. The Company attempts to minimize counterparty risk through the structuring of the terms of the reinsurance agreements, including the use of trusts and the monitoring of credit ratings of the counterparties for signs of declining credit quality.

As the Company actively runs off its reinsurance business, it may seek to mitigate exposure through early settlement of its obligations to ceding companies by entering into novations. A novation results in full and final settlement of all current and future policy obligations due from the Company to the ceding company. Gains and losses on novations are recorded as either a decrease or increase respectively in policyholder benefits in the consolidated statements of income (loss).

**Deferred Costs and DAC**

For the reinsurance of existing in-force blocks that transfer significant insurance risk, the excess of the liabilities assumed that exceeds the fair value of assets received is recognized as Deferred Costs at the inception of the reinsurance agreement.

The premium charged to, or fair value of assets received from, ceding companies may be lower than the estimate of liabilities as these liabilities may not be settled for many years. As premium is received at inception, the Company expects to generate a profit from these reinsurance contracts as the Company may invest the premium for many years, thereby generating investment income.

*Deferred Costs - long duration*: The Deferred Costs are amortized over the lives of the reinsured policies in relation to expected benefit payments or insurance in-force for life and annuity insurance contracts. The amortization is included within policyholder benefits within the consolidated statements of income (loss).

The Deferred Costs are included within the net carrying amount of future policy benefit liabilities subject to loss recognition testing, as described in further detail below.

*DAC:* DAC represents the deferred costs that are directly related to the successful acquisition or renewal of an insurance (or reinsurance) contract. Each cost is analyzed to assess whether it is fully deferrable. If deferrable, these costs have been recorded as an asset.

DAC related to investment contracts with significant revenue streams from sources other than investment of the policyholder funds are amortized over the lives of the policies, based upon the proportion of the present value of actual and expected deferred costs to the present value of actual and expected gross profits to be earned over the life of the policies.

The Company performs periodic tests, including at issuance, to determine if the Deferred Costs and DAC are recoverable. If the Company determines that the Deferred Costs or DAC are not recoverable, the Company records a cumulative charge to the current period in policyholder benefits on the consolidated statements of income (loss).

**Loans receivable from related parties**

Loans receivable from related parties are carried at the unpaid principal balances. Interest income is accrued on the principal balances of the loans based on the respective loan's contractual interest rate and is recorded as earned within net investment income on the consolidated statements of income (loss).

**Other Assets**

Other assets primarily consist of accrued investment income, reinsurance receivables and other investment-related receivables.

*Accrued investment income:* Accrued investment income primarily includes accruals of interest and dividend income from investments that have been earned but not yet received.

**Future Policy Benefits**

Future policy benefits include obligations for insurance products that are long-duration such as whole life.

Life reserves represent an estimate of the present value of future benefits less the present value of future net premiums and are established using assumptions for mortality, morbidity, persistency, maintenance expenses, and investment returns. When applicable, the assumptions also include margins for adverse deviation to reflect uncertainty given that actual experience might deviate from these assumptions. The Company reviews the adequacy of the reserves by projecting asset and liability cash flows into the future using best estimate assumptions for mortality, morbidity, lapse, expenses and investment yield. If deficiencies are found to exist, then the Company may record additional liabilities. The assumptions used to estimate certain benefit liabilities are set when a contract is issued and do not change with changes in actual experience unless a loss recognition event occurs. Periodically, the Company is required to evaluate these locked-in assumptions. A loss recognition event occurs when there is a shortfall between the net carrying amount of future policy benefit liabilities and estimated future policy benefit liabilities determined by applying current best estimate assumptions. The Company includes Deferred Costs and Deferred Gains in the net carrying amount of future policy benefit liabilities subject to loss recognition testing. If the Company determines a loss recognition event has occurred, the Company would record additional liabilities through policyholder benefits in the consolidated statements of income (loss). To the extent that a loss recognition event is triggered by decreased interest rates stemming from assets designated as available for sale, the increase of additional liability would be recorded as a component of accumulated other comprehensive income (loss). The Company would then replace the old locked-in assumption with the current best estimate assumptions. Future reserves would be set by reviewing the updated best estimate assumptions periodically and making further adjustments where necessary. These further adjustments may include incurred but not reported claims. Groupings for loss recognition testing are consistent with the Company's manner of acquiring, servicing and measuring the profitability of the business and applied by line of business.

**Policyholder Contract Deposits**

The liability for policyholder contract deposits is recorded at accumulated or fund value (deposits received, plus accrued interest credited, less withdrawals, surrender charges and fees). Policyholder contract deposits are primarily comprised of the following:

- Deferred annuity products which are designed to collect premiums and accrue credited interest over an extended period for payout at a later date; and
- Single premium whole life ("SPWL") products which are interest sensitive and provide permanent coverage for life insurance with the potential to accumulate cash value.

**Deferred Gains**

*Deferred Gains - long duration*: The difference between the consideration received in excess of the liabilities assumed under the reinsurance contract is recorded as a deferred gain from reinsurance contracts in the consolidated balance sheets. The deferred gain is amortized over the lives of the reinsured policies in relation to expected benefit payments or insurance in-force for life insurance contracts. The amortization is included within policyholder benefits within the consolidated statements of income (loss).

**Accrued and Other Liabilities**

Accrued and other liabilities primarily consist of derivatives, payable to related parties, accrued expenses and payables resulting from purchases of securities that have not yet settled at the balance sheet date.

**Insurance Revenue and Expense Recognition**

For reinsurance of traditional long-duration insurance contracts (including WL contracts), premiums are recognized and earned when due. Estimates for premiums due but not yet collected are accrued. Benefits are recorded as an expense when they are incurred.

For contracts without significant mortality or morbidity risk (investment contracts), premiums received are reported as increases to policyholder contract deposits. Revenues from these contracts are reflected in policy charges and fee income consisting primarily of fees assessed against the policyholders' account balances for policy administration charges and surrender charges. Policy charges are recognized as revenues in the period in which they are assessed against policyholders.

**Foreign Exchange Gains (Losses)**

Foreign currency assets and liabilities that are considered monetary items are remeasured at exchange rates in effect at the balance sheet date. Foreign currency revenues and expenses are remeasured at average exchange rates for the reporting period. These exchange gains and losses are recognized in foreign exchange gains (losses) within the consolidated statements of income (loss).

**Future Adoption of Accounting Standard Updates**

*ASU 2018-12 Targeted Improvements to the Accounting for Long-Duration Contracts:*

In August 2018, the FASB issued ASU 2018-12, an accounting standard update with the objective of making targeted improvements to the existing recognition, measurement, presentation, and disclosure requirements for long-duration insurance contracts issued by an insurance entity.

The changes to the measurement, recognition, presentation and disclosure as provided by the new accounting standard update are summarized below:

- Requires the review and update of future policy benefit assumptions at least annually for traditional and limited pay long duration contracts, with the recognition and separate presentation of any resulting re-

measurement gain or loss (except for discount rate changes as noted below) in the consolidated statements of income (loss);

- Requires the discount rate assumption to be updated at the end of each reporting period using an upper medium grade (low-credit risk) fixed income instrument yield that maximizes the use of observable market inputs and recognizes the impact of changes to discount rates in other comprehensive income (loss);
- Requires the measurement of all market risk benefits associated with deposit (or account balance) contracts at fair value through the income statement with the exception of instrument-specific credit risk changes, which will be recognized in other comprehensive income (loss);
- Requires the amortization of deferred policy acquisition costs ("DAC") and other DAC-like assets over the expected term of the related contracts on a constant-level basis; and
- Requires significant disclosures, including disclosures of disaggregated roll-forwards of policy benefits, account balances, market risk benefits, separate account liabilities and information about significant inputs, judgments and methods used in measurement and changes thereto and impact of those changes.

The Company will adopt ASU 2018-12 effective January 1, 2025, using the modified retrospective transition method in which the guidance is applied to contracts in force as of the beginning of the earliest period presented on the basis of their existing carrying amounts, adjusted for the removal of any related amounts in AOCI. The guidance will be applied as of January 1, 2023 (and transition adjustments recorded as of January 1, 2023) in the Company's 2025 consolidated financial statements.

The Company has created a governance framework and a plan to support implementation of the updated standard. The Company continues to make progress in its implementation process that includes, but is not limited to, refining significant accounting policy decisions, employing appropriate internal controls, modifying actuarial models and systems, revising reporting processes and developing informative qualitative and quantitative disclosures.

The Company expects that while the adoption of this new accounting guidance will have a significant impact on the Company's consolidated financial statements under U.S. GAAP, it does not expect adoption of the updated standard to impact its overall cash flows, dividend capacity or ability to meet applicable regulatory capital standards, nor does the Company anticipate adoption to affect its strategies for capital deployment.

## 2. Significant Reinsurance Transactions

The Company acquires blocks of legacy reserves and executes flow reinsurance transactions through reinsurance agreements. The following table summarizes the Company's significant reinsurance transactions completed between January 1, 2022 and December 31, 2024. Values are shown in thousands at the execution date of transaction.

| Transaction | Execution Date | Total Liabilities Assumed | Total Assets Received | Deferred Gain (Cost) | Primary Nature of Transaction |
|---|---|---|---|---|---|
| Flow reinsurance agreement with an affiliated Japanese life insurance company | March 15, 2024 | $ — | $ — | $ — | Quota share coinsurance on Japanese Yen ("JPY") denominated single premium deferred annuities issued to the Japanese market. |
| Reinsurance agreement with an affiliated Japanese life insurance company | March 31, 2023 | 1,145,302 | 1,242,897 | 97,595 | Quota share coinsurance on a block of JPY denominated whole life products issued to the Japanese market. |
| Reinsurance agreement with an affiliated Japanese life insurance company | March 31, 2023 | 1,311,929 | 1,122,175 | (189,754) | Coinsurance on a block of USD denominated single premium whole life products issued to the Japanese market. |
| Flow reinsurance agreement with an affiliated Japanese life insurance company | October 1, 2022 | — | — | — | Quota share coinsurance on USD and Australian dollar ("AUD") denominated single premium WL products, structured akin to a deferred annuity block. |

## 3. Fair Value Measurements

### Fair Value Measurements on a Recurring Basis

Fair value is defined as the amount that would be received from the sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The degree of judgment used in measuring the fair value of financial instruments generally inversely correlates with the level of observable valuation inputs. The Company maximizes the use of observable inputs and minimizes the use of unobservable inputs when determining fair value. Financial instruments with quoted prices in active markets generally have more pricing observability and less judgment is used in measuring fair value. Conversely, financial instruments for which no quoted prices are available have less observability and are measured at fair value using valuation models or other pricing techniques that require more judgment. Pricing observability is affected by a number of factors, including the type of financial instrument, whether the financial instrument is new to the market and not yet established, the characteristics specific to the transaction, liquidity and general market conditions.

### Fair Value Hierarchy

Assets and liabilities recorded at fair value in the consolidated balance sheets are measured and classified in accordance with a fair value hierarchy consisting of three levels based on the observability of valuation inputs as follows:

- Level 1: Fair value is based on unadjusted quoted prices in active markets that are accessible to the Company for identical assets or liabilities.
- Level 2: Fair value is based on significant inputs, other than quoted prices included in Level 1, that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the asset or liability through corroboration with observable market data. Level 2 inputs include quoted market prices in active markets for similar assets and liabilities, quoted market prices in markets that are not active for identical or similar assets or liabilities, and other market observable inputs.
- Level 3: Fair value is based on at least one significant unobservable input for the asset or liability. The assets and liabilities in this category may require significant judgement or estimation in determining fair value.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, the level in the fair value hierarchy within which the fair value measurement in its entirety falls is determined based on the lowest level input that is significant to the fair value measurement.

The following is a description of the valuation methodologies used for assets and liabilities carried at fair value. These methodologies are applied to assets and liabilities across the levels discussed above, and it is the observability of the inputs used that determines the appropriate level in the fair value hierarchy for the respective asset or liability.

### Valuation of Financial Instruments Measured at Fair Value

*Fixed maturity securities*

Whenever available, the Company obtains quoted prices in active markets for identical assets at the balance sheet date to measure the fair value of fixed maturity securities. Market price data is generally obtained from dealer markets. The Company employs multiple independent third-party valuation service providers that gather, analyze, and interpret market information to derive fair value estimates for individual investments, based upon market-accepted methodologies and assumptions. The methodologies used by these independent third-party valuation service providers are reviewed and understood by management, through periodic discussion with and information provided by the independent third-party valuation service providers, and a vendor hierarchy is maintained by asset type based on historical pricing experience and vendor expertise. The Company ultimately uses the price from the pricing service highest in the vendor hierarchy based on the respective asset type. The pricing hierarchy is updated, as needed, for new financial products.

When observable price quotations are not available, indicative broker quotes, asset manager pricing, or third-party valuation specialist pricing is used for valuation. Fair value can be determined based on discounted cash flow models using discount rates based on credit spreads, yields or price levels of comparable securities, adjusted for illiquidity and structure. The significant unobservable inputs used in the fair value measurement of these investments are liquidity discount rates applied to each of the net tangible book value multiples used in the internal valuation models, and discount rates applied to the expected cash flows of the underlying entities in various scenarios. These unobservable inputs in isolation can cause significant increases or decreases in fair value. Generally, an increase in the liquidity discount rate or discount rates would result in a decrease in the fair value of these private investments. Asset manager overrides and indicative broker quotes are generally included in Level 3 in the fair value hierarchy.

*Mortgage loans*

Fair value for mortgage loans is based upon the present value of the expected future cash flows discounted at the appropriate U.S. Treasury rate or foreign government bond rate (for non-U.S. dollar-denominated loans) plus an appropriate credit spread for loans of similar quality, average life and currency. The quality ratings for these loans, a primary determinant of the credit spreads and a significant component of the pricing process, are based on asset manager's internally developed methodology.

*Derivative instruments (Other invested assets and accrued and other liabilities)*

The fair values of derivative contracts can be affected by changes in interest rates, foreign exchange rates, market volatility, expected returns, NPR, liquidity and other factors.

The Company’s derivative positions are traded in the OTC derivative market and are classified within Level 2 in the fair value hierarchy. OTC derivatives classified within Level 2 are valued using models that utilize actively quoted or observable market input from external market data providers, third-party pricing vendors and/or recent trading activity. The Company’s policy is to use mid-market pricing in determining its best estimate of fair value. The fair values of most OTC derivatives, including cross-currency swaps and currency forward contracts are determined using discounted cash flow models.

The Company’s cleared interest rate swaps and credit derivatives linked to an index are valued using models that utilize actively quoted or observable market inputs, including the Secured Overnight Financing Rate "SOFR", obtained from external market data providers, third-party pricing vendors, and/or recent trading activity. These derivatives are classified as Level 2 in the fair value hierarchy.

*Other invested assets - LPs/LLCs*

Other invested assets include investments in private equity funds, for which the Company utilizes NAV, a permitted practical expedient, as an estimate of the fair value.

*Cash and Cash equivalents*

Cash and cash equivalents, including certain money market instruments, are primarily valued using unadjusted quoted prices in active markets that are accessible for identical assets and are primarily classified as Level 1.

## Assets and Liabilities Measured at Fair Value

The following table presents information about assets and liabilities measured at fair value on a recurring basis and indicates the level of the fair value measurement based on the observability of the inputs used as of December 31, (in thousands):

| | 2024 | | | | | |
|---|---|---|---|---|---|---|
| | Level 1 | Level 2 | Level 3 | Fair Value Based on NAV as Practical Expedient | Netting[1] | Total |
| **Assets:** | | | | | | |
| Fixed maturity securities, AFS: | | | | | | |
| U.S. government and government sponsored entities | $ — | $ 138,896 | $ — | $ — | $ — | $ 138,896 |
| Corporate debt | — | 517,613 | — | — | — | 517,613 |
| Residential mortgage backed securities ("RMBS") | — | 94,378 | — | — | — | 94,378 |
| CMBS | — | 1,947 | — | — | — | 1,947 |
| CDO / ABS | — | 301,492 | 31,463 | — | — | 332,955 |
| Total fixed maturity securities, AFS | — | 1,054,326 | 31,463 | — | — | 1,085,789 |
| | | | | | | |
| Fixed maturity securities, at fair value: | | | | | | |
| U.S. government and government sponsored entities | — | 70,180 | — | — | — | 70,180 |
| Non-U.S. governments | — | 530,562 | — | — | — | 530,562 |
| Corporate debt | — | 1,651,235 | — | — | — | 1,651,235 |
| RMBS | — | 178,959 | 4,785 | — | — | 183,744 |
| CDO / ABS | — | 675,279 | 311,299 | — | — | 986,578 |
| Total fixed maturity securities, at fair value | — | 3,106,215 | 316,084 | — | — | 3,422,299 |
| | | | | | | |
| Mortgage loans | — | — | 320,086 | — | — | 320,086 |
| Cash and cash equivalents | 408,452 | — | — | — | — | 408,452 |
| Other invested assets | 7,894 | 6,514 | — | 102,100 | (6,207) | 110,301 |
| **Total assets** | **$ 416,346** | **$4,167,055** | **$ 667,633** | **$ 102,100** | **$ (6,207)** | **$5,346,927** |
| | | | | | | |
| **Liabilities:** | | | | | | |
| Accrued and other liabilities | $ — | $ 117,166 | $ 44,988 | $ — | $ (87,778) | $ 74,376 |
| **Total liabilities** | **$ —** | **$ 117,166** | **$ 44,988** | **$ —** | **$ (87,778)** | **$ 74,376** |

[1] "Netting" amounts represent offsetting considerations as disclosed in Note 5.

| | 2023 | | | | | |
|---|---|---|---|---|---|---|
| | Level 1 | Level 2 | Level 3 | Fair Value Based on NAV as Practical Expedient | Netting[1] | Total |
| **Assets:** | | | | | | |
| Fixed maturity securities, AFS: | | | | | | |
| U.S. government and government sponsored entities | $ — | $ 248,298 | $ — | $ — | $ — | $ 248,298 |
| Corporate debt | — | 551,689 | 10,490 | — | — | 562,179 |
| RMBS | — | 101,104 | — | — | — | 101,104 |
| CMBS | — | 6,273 | — | — | — | 6,273 |
| CDO / ABS | — | 62,167 | 65,308 | — | — | 127,475 |
| Total fixed maturity securities, AFS | — | 969,531 | 75,798 | — | — | 1,045,329 |
| | | | | | | |
| Fixed maturity securities, at fair value: | | | | | | |
| U.S. government and government sponsored entities | — | 37,251 | — | — | — | 37,251 |
| Non-U.S. governments | — | 452,716 | — | — | — | 452,716 |
| Corporate debt | — | 1,286,138 | 389,609 | — | — | 1,675,747 |
| RMBS | — | 44,888 | — | — | — | 44,888 |
| CMBS | — | 27,981 | — | — | — | 27,981 |
| CDO / ABS | — | 303,652 | 185,012 | — | — | 488,664 |
| Total fixed maturity securities, at fair value | — | 2,152,626 | 574,621 | — | — | 2,727,247 |
| | | | | | | |
| Cash and cash equivalents | 494,814 | — | — | — | — | 494,814 |
| Other invested assets | — | 21,343 | — | 45,486 | (7,424) | 59,405 |
| **Total assets** | **$ 494,814** | **$ 3,143,500** | **$ 650,419** | **$ 45,486** | **$ (7,424)** | **$ 4,326,795** |
| | | | | | | |
| **Liabilities:** | | | | | | |
| Accrued and other liabilities | $ — | $ 31,448 | $ — | $ — | $ (23,963) | $ 7,485 |
| **Total liabilities** | **$ —** | **$ 31,448** | **$ —** | **$ —** | **$ (23,963)** | **$ 7,485** |

[1] "Netting" amounts represent offsetting considerations as disclosed in Note 5.

### Quantitative Information About Level 3 Fair Value Measurements

The table below presents information about the significant unobservable inputs used for recurring fair value measurements for certain Level 3 assets, which includes only those financial instruments for which information about the inputs is reasonably available to the Company. Weighted averages are calculated by weighting each input by the relative fair value of the respective category of assets. Table shows values as of December 31, (in thousands):

| | 2024 | | | | |
|---|---|---|---|---|---|
| | Fair Value | Valuation Technique | Unobservable Input | Range (Weighted Average) | Impact of Increase in the Input on Fair Value |
| **Assets:** | | | | | |
| Fixed maturity securities: | | | | | |
| CDO / ABS | $ 299,240 | Discounted Cash Flow | Discount rate | 6.02% - 20.00% (8.42%) | Decrease |
| | 37,916 | Trade price | Trade price | N/A | Increase |
| Mortgage loans | 320,086 | Level yield | Market yield | 5.04% - 10.66% (7.75%) | Increase |

Excluded from the above chart are certain Level 3 assets and liabilities that were valued by an external vendor and for which the unobservable inputs were not readily available. As of December 31, 2024, $3,795 thousand of fixed maturity securities, AFS and $6,596 thousand of fixed maturity securities, at fair value were excluded from assets under this criteria. As of December 31, 2024, $44,988 thousand of accrued and other liabilities were excluded from liabilities under this criteria.

| | 2023 | | | | |
|---|---|---|---|---|---|
| | Fair Value | Valuation Technique | Unobservable Input | Range (Weighted Average) | Impact of Increase in the Input on Fair Value |
| **Assets:** | | | | | |
| Fixed maturity securities: | | | | | |
| Corporate debt | $ 99,127 | Discounted Cash Flow | Market yield | 5.25% - 7.94% (6.27%) | Decrease |
| CDO / ABS | 247,321 | Discounted Cash Flow | Spread | 220 bps - 1040 bps (536 bps) | Decrease |

Excluded from the above chart are certain Level 3 assets that were valued by an external vendor and for which the unobservable inputs were not readily available. As of December 31, 2023, $303,971 thousand of fixed maturity securities, at fair value were excluded from assets under this criteria.

### Transfers into or out of Level 3

The following is a reconciliation for all the Level 3 assets measured at fair value on a recurring basis as of December 31, (in thousands):

| | 2024 | | | |
|---|---|---|---|---|
| | Assets | | | |
| | Fixed Maturity Securities, AFS | Fixed Maturity Securities, at Fair Value | Mortgage Loans | Total Assets |
| **Balance, beginning of year** | $ 75,798 | $ 574,621 | $ — | $ 650,419 |
| Purchases | 4,986 | 214,139 | 436,240 | 655,365 |
| Sales, maturities, redemptions | (37,227) | (55,266) | (117,042) | (209,535) |
| Total realized and unrealized gains (losses) included in net income (loss)[1] | — | (10,672) | (572) | (11,244) |
| Unrealized gains (losses) included in other comprehensive income (loss) | 237 | — | — | 237 |
| Transfers into Level 3 | 20,159 | 9,621 | — | 29,780 |
| Transfers out of Level 3 | (36,914) | (412,785) | — | (449,699) |
| Other | 4,424 | (3,574) | 1,460 | 2,310 |
| **Balance, end of year** | **$ 31,463** | **$ 316,084** | **$ 320,086** | **$ 667,633** |

[1] Fixed maturity securities, at fair value includes changes in unrealized gains (losses) of $(10,908) thousand included in the consolidated statements of income (loss) for instruments still held as of December 31, 2024.

| | 2023 | | |
|---|---|---|---|
| | Assets | | |
| | Fixed Maturity Securities, AFS | Fixed Maturity Securities, at Fair Value | Total Assets |
| **Balance, beginning of year** | $ — | $ — | $ — |
| Purchases | 75,208 | 521,587 | 596,795 |
| Sales, maturities, redemptions | (188) | (509) | (697) |
| Total realized and unrealized gains (losses) included in net income (loss)[1] | — | (2,535) | (2,535) |
| Unrealized gains (losses) included in other comprehensive income (loss) | 778 | — | 778 |
| Transfers into Level 3 | — | 56,078 | 56,078 |
| Transfers out of Level 3 | — | — | — |
| Other | — | — | — |
| **Balance, end of year** | **$ 75,798** | **$ 574,621** | **$ 650,419** |

[1] Fixed maturity securities, at fair value includes changes in unrealized gains (losses) of $326 thousand included in the consolidated statements of income (loss) for instruments still held as of December 31, 2023.

The following is a reconciliation for all the Level 3 liabilities measured at fair value on a recurring basis as of December 31, (in thousands):

| | 2024 | |
|---|---|---|
| | Liabilities | |
| | Accrued and other liabilities[1] | Total Liabilities |
| **Balance, beginning of year** | $ — | $ — |
| Total realized and unrealized gains (losses) included in net income (loss) | 35,519 | 35,519 |
| Other | 9,469 | 9,469 |
| **Balance, end of year** | **$ 44,988** | **$ 44,988** |

[1] Represents derivative liabilities associated with repackaging vehicles. See Note 4 for further information.

The Company's policy is to recognize transfers into and out of levels within the fair value hierarchy at the beginning of the year in which the actual event or change in circumstances that caused the transfer occur.

**Fair Value Information About Financial Instruments Not Measured at Fair Value**

The following table presents the carrying amounts and estimated fair values of financial instruments not measured at fair value and indicates the level in the fair value hierarchy of the estimated fair value measurement based on the observability of the inputs used as of December 31, (in thousands):

| | 2024 | | | | |
|---|---|---|---|---|---|
| | Estimated Fair Value | | | | |
| | Level 1 | Level 2 | Level 3 | Total | Carrying Value |
| **Assets:** | | | | | |
| Loans receivable from related parties | $ — | $ — | $ 178,808 | $ 178,808 | $ 177,500 |
| | | | | | |
| **Liabilities:** | | | | | |
| Policyholder contract deposits associated with investment-type contracts | $ — | $ — | $3,629,214 | $3,629,214 | $3,939,832 |

| | 2023 | | | | |
|---|---|---|---|---|---|
| | Estimated Fair Value | | | | |
| | Level 1 | Level 2 | Level 3 | Total | Carrying Value |
| **Assets:** | | | | | |
| Other invested assets - other | $ 10,955 | $ — | $ — | $ 10,955 | $ 10,955 |
| Loans receivable from related parties | — | — | 231,175 | 231,175 | 230,000 |
| | | | | | |
| **Liabilities:** | | | | | |
| Policyholder contract deposits associated with investment-type contracts | $ — | $ — | $2,816,391 | $2,816,391 | $3,008,105 |

Information regarding the estimation of fair value for financial instruments not carried at fair value is discussed below:

*Other invested assets - other*

Includes policy loans and cash collateral posted in excess of derivative liabilities. For policy loans, carrying value generally approximates fair value. For cash collateral posted in excess of derivative liabilities, due to the short-term nature of these transactions, the carrying value approximates fair value.

*Loans receivable from related parties*

The fair value of loans are estimated using a discounted cash flow calculation based on projected interest and principal cash flows discounted at a risk adjusted discount rate for the duration of such loans.

*Policyholder contract deposits associated with investment-type contracts*

The fair value of policyholder contract deposits associated with investment-type contracts is estimated using discounted cash flow calculations based on interest rates currently being offered in the industry for similar contracts with maturities consistent with those of the contracts being valued. When no similar contracts are being offered, the discount rate is the U.S. Treasury spot rate or current risk-free interest rate. Other factors considered in the estimation process include current policyholder account values and related surrender charges, expectations about policyholder behavior and risk margin adjustments.

## 4. Investments

### Fixed Maturity Securities AFS

The following tables present the amortized cost or cost, gross unrealized gains, gross unrealized losses, allowance for credit losses and fair value of AFS fixed maturity securities as of December 31, (in thousands):

| | 2024 | | | | |
|---|---|---|---|---|---|
| | Amortized Cost or Cost | Gross Unrealized[1] | | Allowance for Expected Credit Losses[2] | Fair Value |
| | | Gains | Losses | | |
| **Fixed maturity securities, AFS:** | | | | | |
| U.S. government and government sponsored entities | $ 141,439 | $ — | $ (2,543) | $ — | $ 138,896 |
| Corporate debt | 514,356 | 5,287 | (1,458) | (572) | 517,613 |
| Mortgage-backed, asset-backed and collateralized: | | | | | |
| RMBS | 90,961 | 4,058 | — | (641) | 94,378 |
| CMBS | 1,931 | 16 | — | — | 1,947 |
| CDO / ABS | 329,230 | 4,281 | (16) | (540) | 332,955 |
| Total mortgage-backed, asset-backed and collateralized | 422,122 | 8,355 | (16) | (1,181) | 429,280 |
| **Total fixed maturity securities, AFS** | **$ 1,077,917** | **$ 13,642** | **$ (4,017)** | **$ (1,753)** | **$1,085,789** |

[1] Gross unrealized gains (losses) are reported as a separate component of AOCI on the consolidated statements of comprehensive income (loss).

[2] Allowance for expected credit losses are recognized in investment gains (losses) on the consolidated statements of income (loss).

| | 2023 | | | | |
|---|---|---|---|---|---|
| | Amortized Cost or Cost | Gross Unrealized[1] | | Allowance for Expected Credit Losses[2] | Fair Value |
| | | Gains | Losses[3] | | |
| **Fixed maturity securities, AFS:** | | | | | |
| U.S. government and government sponsored entities | $ 249,829 | $ — | $ (1,531) | $ — | $ 248,298 |
| Corporate debt | 551,800 | 10,538 | (159) | — | 562,179 |
| Mortgage-backed, asset-backed and collateralized: | | | | | |
| RMBS | 99,268 | 2,612 | (280) | (496) | 101,104 |
| CMBS | 6,178 | 104 | (8) | (1) | 6,273 |
| CDO / ABS | 125,797 | 1,809 | (20) | (111) | 127,475 |
| Total mortgage-backed, asset-backed and collateralized | 231,243 | 4,525 | (308) | (608) | 234,852 |
| **Total fixed maturity securities, AFS** | **$ 1,032,872** | **$ 15,063** | **$ (1,998)** | **$ (608)** | **$1,045,329** |

[1] Gross unrealized gains (losses) are reported as a separate component of AOCI on the consolidated statements of comprehensive income (loss).

[2] Allowance for expected credit losses are recognized in investment gains (losses) on the consolidated statements of income (loss).

[3] Prior period amounts have been updated to conform to current period presentation.

### Fixed Maturity Securities AFS in a Loss Position

The following table summarizes the fair value and gross unrealized losses on AFS securities without an allowance for credit losses, aggregated by major investment category and length of time that individual securities have been in a continuous unrealized loss position as of December 31, (in thousands):

| | 2024 | | | | | |
|---|---|---|---|---|---|---|
| | Less than 12 Months | | Greater than 12 Months | | Total | |
| | Fair Value | Gross Unrealized Losses | Fair Value | Gross Unrealized Losses | Fair Value | Gross Unrealized Losses |
| **Fixed maturity securities, AFS:** | | | | | | |
| U.S. government and government sponsored entities | $ 138,894 | $ (2,543) | $ — | $ — | $ 138,894 | $ (2,543) |
| Corporate debt | 175,151 | (1,458) | — | — | 175,151 | (1,458) |
| Mortgage-backed, asset-backed and collateralized: | | | | | | |
| RMBS | 12,679 | — | — | — | 12,679 | — |
| CDO / ABS | 18,748 | (12) | 164 | (4) | 18,912 | (16) |
| Total mortgage-backed, asset-backed and collateralized | 31,427 | (12) | 164 | (4) | 31,591 | (16) |
| **Total fixed maturity securities, AFS** | **$ 345,472** | **$ (4,013)** | **$ 164** | **$ (4)** | **$ 345,636** | **$ (4,017)** |

| | 2023 | | | | | |
|---|---|---|---|---|---|---|
| | Less than 12 Months | | Greater than 12 Months | | Total | |
| | Fair Value | Gross Unrealized Losses[1] | Fair Value | Gross Unrealized Losses[1] | Fair Value | Gross Unrealized Losses[1] |
| **Fixed maturity securities, AFS:** | | | | | | |
| U.S. government and government sponsored entities | $ 248,298 | $ (1,531) | $ — | $ — | $ 248,298 | $ (1,531) |
| Corporate debt | 23,412 | (159) | — | — | 23,412 | (159) |
| **Mortgage-backed, asset-backed and collateralized:** | | | | | | |
| RMBS | 23,838 | (280) | — | — | 23,838 | (280) |
| CMBS | 1,915 | (8) | — | — | 1,915 | (8) |
| CDO / ABS | 13,450 | (20) | — | — | 13,450 | (20) |
| Total mortgage-backed, asset-backed and collateralized | 39,203 | (308) | — | — | 39,203 | (308) |
| **Total fixed maturity securities, AFS** | **$ 310,913** | **$ (1,998)** | **$ —** | **$ —** | **$ 310,913** | **$ (1,998)** |

[1] Prior period amounts have been updated to conform to current period presentation.

As of December 31, 2024 and 2023, 35% and 91% of fixed maturity securities, AFS in a gross unrealized loss position had a decline in fair value less than 1% and 1% of amortized cost, respectively. Additionally, $4,606 thousand and $1,714 thousand of the gross unrealized losses as of December 31, 2024 and 2023, respectively, relates to investment-grade securities (or highly rated or securities with a Standard and Poor's rating of at least BBB-).

Gross unrealized losses are primarily attributable to increases in interest rates, general credit spread widening and foreign currency exchange rate movements since the date of acquisition. As of December 31, 2024, the Company did not intend to sell these securities, nor is it more likely than not that the Company will be required to sell these securities before recovery of the amortized cost basis.

### Contractual Maturities of Fixed Maturity Securities AFS

The following table presents the amortized cost and fair value of fixed maturity securities AFS by contractual maturity as of December 31, (in thousands):

| | 2024 | | 2023 | |
|---|---|---|---|---|
| | Total Fixed Maturity Securities, AFS | | | |
| | Amortized Cost | Fair Value | Amortized Cost | Fair Value |
| Due in one year or less | $ — | $ — | $ — | $ — |
| Due after one year through five years | 309,841 | 310,126 | 383,014 | 384,023 |
| Due after five years through ten years | 345,954 | 346,383 | 417,467 | 425,289 |
| Due after ten years | — | — | 1,148 | 1,166 |
| Mortgage-backed, asset-backed and collateralized | 422,122 | 429,280 | 231,243 | 234,851 |
| **Total** | **$ 1,077,917** | **$ 1,085,789** | **$ 1,032,872** | **$ 1,045,329** |

Actual maturities may differ from contractual maturities because issuers may have the right to call or prepay obligations with or without call or prepayment penalties. Mortgage-backed, asset-backed and collateralized securities are shown separately in the table above, as they do not have a single maturity date.

### Allowance for Credit Losses and Impairments - Fixed Maturity Securities AFS

The following table presents the rollforward of the allowance for credit losses in fixed maturity securities by type for the years ended December 31, (in thousands):

| | Corporate debt | RMBS | CMBS | CDO / ABS | Total |
|---|---|---|---|---|---|
| **Balance, January 1, 2023[1]** | $ — | $ — | $ — | $ — | $ — |
| Additions to the allowance for credit losses not previously recorded | — | 496 | 111 | 1 | 608 |
| **Balance, December 31, 2023** | — | 496 | 111 | 1 | 608 |
| Additions to the allowance for credit losses not previously recorded | 594 | 12 | (93) | 782 | 1,295 |
| Reductions for securities sold during the period | — | (8) | — | (226) | (234) |
| Additional increases or decreases to the allowance for credit losses on securities that had an allowance recorded in a previous period | (22) | 141 | (18) | (17) | 84 |
| **Balance, December 31, 2024** | **$ 572** | **$ 641** | **$ —** | **$ 540** | **$ 1,753** |

[1] Prior to January 1, 2023, credit losses on AFS securities were not recorded as an allowance but were recorded as a reduction of the book value of the security if the security was other-than-temporarily impaired. The Company did not have an adoption impact due to the transition for AFS securities.

### Proceeds and gross gains and losses from sales

The following table presents the proceeds from sales and the gross gains and losses on those sales of AFS fixed maturity securities for the years ended December 31, (in thousands):

| | 2024 | 2023 | 2022 |
|---|---|---|---|
| Proceeds from voluntary sales | $ 364,603 | $ 281,771 | $ — |
| Gross gains | 1,153 | 121 | — |
| Gross losses | (4,021) | (6,146) | — |

**Other Invested Assets**

The following table presents the components of other invested assets by asset class as of December 31, (in thousands):

| | 2024 | 2023 |
|---|---|---|
| **LPs/LLCs:** | | |
| Equity Method: | | |
| Private equity | $ 34,844 | $ — |
| Fair Value: | | |
| Private equity | 67,256 | 45,486 |
| Total LPs/LLCs[1] | 102,100 | 45,486 |
| Derivatives | 307 | 13,919 |
| Other | 7,894 | 10,955 |
| **Total other invested assets** | **$ 110,301** | **$ 70,360** |

[1] Includes related party balances of $77,351 thousand and $45,486 thousand as of December 31, 2024 and 2023, respectively.

Private equity investments are subject to restrictions on redemptions and sales that are determined by the governing documents, which limit the ability to liquidate those investments. These restrictions may include lock-ups, redemption gates, restricted share classes or side pockets and restrictions on the frequency of redemption and notice periods.

**Variable Interest Entities**

A VIE is an entity that either: (a) has equity investors that lack certain essential characteristics of a controlling financial interest (including the ability to control activities of the entity, the obligation to absorb the entity's expected losses and the right to receive the entity's expected residual returns); or (b) lacks sufficient equity to finance its own activities without financial support provided by other entities, which in turn would be expected to absorb at least some of the expected losses of the VIE.

The Company holds both fixed maturity securities and equity interest issued by VIEs. The Company is the primary beneficiary of a VIE if the Company has: (a) the power to direct the activities of the VIE that most significantly impact the economic performance of the entity; and (b) the obligation to absorb losses of the entity that could be potentially significant to the VIE or the right to receive benefits from the entity that could be potentially significant. If the Company determines that it is the VIE's primary beneficiary, it consolidates the VIE. While also considering these factors, the consolidation conclusion also depends on the breadth of the Company's decision-making ability and the Company's ability to influence activities that significantly affect the economic performance of the VIE.

*Consolidated VIEs*

Creditors or beneficial interest holders of VIEs where the Company is the primary beneficiary have recourse only to the assets and cash flows of the VIEs and have no recourse to the general credit of the Company, as the Company's obligation to the VIEs is limited to the amount of its committed investment. Assets of consolidated VIE's can only be used to settle liabilities of consolidated VIEs.

*Repackaging vehicles:* The Company has created VIEs where the Company has repackaged fixed maturities and derivatives into passthrough securities. The Company owns the beneficial interests of these VIEs and maintain the power to direct the activities of the VIEs that most significantly impact their economic performance. Accordingly, the Company consolidates these fixed maturity securities, at fair value and derivative liabilities, reported within accrued and other liabilities, on the consolidated balance sheets.

The following table presents the total assets and total liabilities relating to investment related VIEs for which the Company has concluded that it is the primary beneficiary and which are consolidated as of December 31, (in thousands):

| | 2024 | 2023 |
|---|---|---|
| | Repackaging Vehicles | Repackaging Vehicles |
| **Assets:** | | |
| Fixed maturity securities, at fair value | $ 303,646 | $ — |
| **Total Assets** | **$ 303,646** | **$ —** |
| **Liabilities:** | | |
| Accrued and other liabilities | $ 44,988 | $ — |
| **Total liabilities** | **$ 44,988** | **$ —** |

*Unconsolidated VIEs*

In the normal course of activities, the Company will invest in LPs/LLCs which include hedge funds, private equity funds and real estate-related funds and may or may not be VIEs. The Company's maximum exposure to loss on these investments, both VIEs and non-VIEs, is limited to the amount of its investment plus any unfunded commitments. The Company has determined that it is not required to consolidate these entities because either (1) it does not control them or (2) it does not have the obligation to absorb losses of these entities that could be potentially significant to the entities or the right to receive benefits from the entities that could be potentially significant.

The carrying amount and maximum exposure to loss relating to VIEs in which the Company holds a variable interest but is not the primary beneficiary and which have not been consolidated were as follows as of December 31, (in thousands):

| | 2024 | | 2023 | |
|---|---|---|---|---|
| | Carrying Amount | Maximum Exposure to Loss[1] | Carrying Amount | Maximum Exposure to Loss[1] |
| Fixed maturity securities, AFS[2] | $ 2,561 | $ 39,338 | $ — | $ — |
| Fixed maturity securities, at fair value[2] | 4,535 | 41,161 | — | — |
| Other invested assets | 3,676 | 373,374 | 29,780 | 160,000 |
| **Total** | **$ 10,772** | **$ 453,873** | **$ 29,780** | **$ 160,000** |

[1] The maximum exposure to loss is equal to the carrying amounts plus any unfunded commitments.

[2] For variable interests included within fixed maturity securities, AFS and fixed maturity securities, at fair value, the Company's involvement is limited to that of a passive investor in asset-backed securities issued by LPs or LLCs that do not have substantial equity.

### Net Investment Income

The following table presents the components of net investment income for the years ended December 31, (in thousands):

| | 2024 | 2023 | 2022 |
|---|---|---|---|
| Fixed maturity securities, at fair value | $ 185,250 | $ 91,288 | $ 2,272 |
| Fixed maturity securities, AFS | 58,504 | 43,095 | — |
| Short term investments and cash equivalents | 23,282 | 26,955 | 439 |
| Loans receivable from related parties | 15,137 | 2,963 | — |
| Mortgage loans | 11,988 | — | — |
| Other invested assets | 8,494 | 380 | — |
| Other investments | 1,822 | 1,692 | — |
| **Gross investment income** | 304,477 | 166,373 | 2,711 |
| Investment expenses | (3,522) | (3,879) | — |
| **Net investment income** | **$ 300,955** | **$ 162,494** | **$ 2,711** |

### Investment Gains (Losses)

The following table presents the components of investment gains (losses) for the years ended December 31, (in thousands):

| | 2024 | 2023 | 2022 |
|---|---|---|---|
| Realized gains (losses) on fixed maturity securities under the FVO | $ (6,026) | $ (1,193) | $ (1,032) |
| Realized gains (losses) on fixed maturity securities, AFS | (4,242) | (6,026) | — |
| Unrealized gains (losses) on fixed maturity securities under the FVO | (82,458) | 29,504 | 167 |
| Net gains (losses) on derivative instruments | 7,772 | 828 | — |
| Net gains (losses) on mortgage loans | (572) | — | — |
| **Investment gains (losses)** | **$ (85,526)** | **$ 23,113** | **$ (865)** |

The amount of unrealized appreciation (depreciation) of fixed maturity securities, AFS reclassified from accumulated other comprehensive income (loss) to investment gains (losses) upon the sale of securities was $(3,020) thousand, $235 thousand and $0 for the years ended December 31, 2024, 2023 and 2022, respectively.

### Securities Pledged and Restricted Assets

The Company pledges as collateral investment securities it owns to unaffiliated parties through certain transactions, including postings of collateral with derivative counterparties.

The Company utilizes asset trust accounts to collateralize business with reinsurance counterparties. The fair value of assets held in these trusts for the benefit of the counterparties as of December 31, 2024 and 2023 was $4,445,291 thousand and $3,933,714 thousand, respectively.

## 5. Derivatives and Offsetting

### Types of Derivative Instruments and Derivative Strategies

The Company utilizes various derivative instruments and strategies to manage interest rate, foreign currency exchange rate, equity and credit risk. Commonly used derivative instruments include but are not necessarily limited to:

- Interest rate contracts: futures, swaps, swaptions, forwards, options, caps and floors; and
- Foreign exchange contracts: futures, options, forwards and swaps.

See Note 1 for a detailed discussion of the accounting treatment for derivative instruments. See Note 3 for additional disclosures related to the fair value of derivative instruments.

*Interest Rate Contracts*

Interest rate swaps are used by the Company to reduce risks from changes in interest rates, and manage interest rate exposures arising from mismatches between assets and liabilities and to hedge against changes in their values it owns or anticipates acquiring or selling.

Interest rate swaps may be attributed to specific assets or liabilities or to a portfolio of assets or liabilities. The Company agrees with counterparties to exchange, at specified intervals, the difference between fixed-rate and floating-rate interest amounts calculated by reference to an agreed upon notional principal amount.

*Foreign Exchange Contracts*

The Company utilizes currency derivatives, including currency swaps and forwards, to reduce risks from changes in currency exchange rates with respect to investments or reinsurance contracts denominated in foreign currencies that the Company either holds or intends to acquire or sell.

Under currency forwards, the Company agrees with counterparties to deliver a specified amount of an identified currency at a specified future date. Typically, the price is agreed upon at the time of the contract and payment for such a contract is made at the specified future date.

Under currency swaps, the Company agrees with counterparties to exchange, at specified intervals, the difference between one currency and another at an exchange rate and calculated by reference to an agreed principal amount. Generally, the principal amount of each currency is exchanged at the beginning and termination of the currency swap by each party.

### Primary Risks Managed by Derivatives

The table below provides a summary of the gross notional amount and fair value of derivative contracts by the primary underlying risks. Many derivative instruments contain multiple underlying risks. The fair value amounts below represent the value of derivative contracts prior to taking into account the netting effects of master netting agreements and cash collateral as of December 31, (in thousands):

| | 2024 | | | 2023 | | |
|---|---|---|---|---|---|---|
| | | Gross Fair Value | | | Gross Fair Value | |
| Instrument Type | Notional | Assets | Liabilities | Notional | Assets | Liabilities |
| Interest rate swaps | $ 1,730,947 | $ 5,361 | $ 8,747 | $ 311,215 | $ 4,802 | $ 6,701 |
| Foreign currency forwards | 1,012,879 | 1,087 | 50,645 | 444,894 | 14,011 | 855 |
| Foreign currency swaps | 427,950 | 66 | 102,762 | 302,750 | 2,530 | 23,892 |
| **Total Derivatives** [1] | **$ 3,171,776** | **$ 6,514** | **$ 162,154** | **$ 1,058,859** | **$ 21,343** | **$ 31,448** |

[1] Recorded in other invested assets and accrued and other liabilities on the consolidated balance sheets.

### Offsetting Assets and Liabilities

The following table presents recognized assets and liabilities, that are offset in the consolidated balance sheets, and/or are subject to an enforceable master netting arrangement or similar agreement, irrespective of whether they are offset in the consolidated balance sheets as of December 31, (in thousands):

| | 2024 | | | | | |
|---|---|---|---|---|---|---|
| | Gross Amounts of Recognized Financial Instruments | Gross Amounts Offset in the Consolidated Balance Sheets | | Amounts Presented in the Consolidated Balance Sheets | Financial Instruments/ Collateral[1] | Net Amount |
| | | Counterparty Netting | Cash Collateral | | | |
| **Offsetting of Financial Assets:** | | | | | | |
| Derivatives | $ 6,514 | $ (6,207) | $ — | $ 307 | $ — | $ 307 |
| **Offsetting of Financial Liabilities:** | | | | | | |
| Derivatives | $ 162,154 | $ (6,207) | $ (81,571) | $ 74,376 | $ — | $ 74,376 |

[1] Amounts exclude the excess of collateral received/pledged from/to the counterparty.

| | 2023 | | | | | |
|---|---|---|---|---|---|---|
| | Gross Amounts of Recognized Financial Instruments | Gross Amounts Offset in the Consolidated Balance Sheets | | Amounts Presented in the Consolidated Balance Sheets | Financial Instruments/ Collateral[1] | Net Amount |
| | | Counterparty Netting | Cash Collateral | | | |
| **Offsetting of Financial Assets:** | | | | | | |
| Derivatives | $ 21,343 | $ (6,864) | $ (560) | $ 13,919 | $ — | $ 13,919 |
| **Offsetting of Financial Liabilities:** | | | | | | |
| Derivatives | $ 31,448 | $ (6,864) | $ (17,099) | $ 7,485 | $ — | $ 7,485 |

[1] Amounts exclude the excess of collateral received/pledged from/to the counterparty.

The following table provides the financial statement classification and impact of derivatives for the years ended December 31, (in thousands):

| | 2024 | | 2023 | | 2022 | |
|---|---|---|---|---|---|---|
| Instrument Type | Investment Gains (Losses) | Foreign Exchange Gains (Losses) | Investment Gains (Losses) | Foreign Exchange Gains (Losses) | Investment Gains (Losses) | Foreign Exchange Gains (Losses) |
| Interest rate swaps | $ 7,772 | $ — | $ — | $ (1,899) | $ — | $ — |
| Foreign currency forwards | — | (78,817) | — | (5,169) | — | 703 |
| Foreign currency swaps | — | (80,853) | — | (23,780) | — | (885) |
| Credit default swaps | — | — | 828 | 157 | — | — |
| **Total Derivatives** | **$ 7,772** | **$ (159,670)** | **$ 828** | **$ (30,691)** | **$ —** | **$ (182)** |

**Counterparty Credit Risk**

The Company is exposed to credit-related losses in the event of non-performance by counterparties to financial derivative transactions with a positive fair value. The Company manages credit risk by (i) entering into derivative transactions with highly rated major international financial institutions and other creditworthy counterparties governed by master netting agreements, as applicable; (ii) trading through central clearing and OTC parties; and (iii) obtaining collateral, such as cash and securities, when appropriate.

Substantially all of the Company's derivative agreements require daily full collateralization by the party in a liability position.

## 6. Reinsurance

The following table shows the effects of assumed reinsurance on the consolidated statements of income (loss) for the year ended December 31, (in thousands):

| | 2024[1] | 2023[1] | 2022[1] |
|---|---|---|---|
| Policy charges and fee income | 53,792 | 14,667 | — |
| Policyholder benefits | 51,003 | 47,320 | — |
| Interest credited to policyholder account balances | 90,365 | 57,572 | 2,811 |
| Commission and expense allowance | 29,816 | 23,203 | 1,085 |

[1] Represents related party balances.

## 7. Future Policy Benefits

The following table presents future policy benefits by product line as of December 31, (in thousands):

| | 2024 | 2023 |
|---|---|---|
| Traditional WL | $ 923,732 | $ 1,066,884 |
| **Total** | **$ 923,732** | **$ 1,066,884** |

## 8. Policyholder Contract Deposits

The following table presents policyholder contract deposits by product line as of December 31, (in thousands):

| | 2024 | 2023 |
|---|---|---|
| SPWL | $ 3,065,936 | $ 3,008,105 |
| Deferred annuities | 873,896 | — |
| Total | **$ 3,939,832** | **$ 3,008,105** |

Interest crediting rates for the Company's policyholder contract deposits range from 0.0% to 4.9%.

## 9. Deferred Gains, Deferred Costs of Reinsurance Contracts and Deferred Acquisition Costs

### Deferred Gains and Deferred Costs

The table below shows the roll forward of the Deferred Gain and related amortization on reinsurance agreements for the years ended December 31, (in thousands):

| | 2024 | 2023 | 2022 |
|---|---|---|---|
| **Balance, beginning of year** | $ 93,078 | $ — | $ — |
| Additions | — | 97,595 | — |
| Amortization expense | (5,771) | (4,517) | — |
| **Balance, end of year** | **$ 87,307** | **$ 93,078** | **$ —** |

The table below shows the roll forward of the Deferred Costs and related amortization on reinsurance agreements for the year ended December 31, (in thousands):

| | 2024 | 2023 | 2022 |
|---|---|---|---|
| **Balance, beginning of year** | $ 160,612 | $ — | $ — |
| Additions | — | 189,754 | — |
| Amortization expense | (36,934) | (29,142) | — |
| **Balance, end of year** | **$ 123,678** | **$ 160,612** | **$ —** |

### Deferred Acquisition Costs

The table below presents a rollforward of DAC for the years ended December 31, (in thousands):

| | 2024 | 2023 | 2022 |
|---|---|---|---|
| **Balance, beginning of year** | $ 81,459 | $ 27,446 | $ — |
| Deferrals | 43,227 | 59,328 | 27,232 |
| Effect of foreign exchange rates | (1,931) | 172 | 214 |
| Amortization | (25,470) | (5,487) | — |
| **Balance, end of year** | **$ 97,285** | **$ 81,459** | **$ 27,446** |

## 10. Credit and Liquidity Agreements

*Letter of Credit Facilities*

During 2024, the Company became an eligible party to a standby letter of credit facility with an unaffiliated investment bank, allowing borrowings by the Company and eligible affiliates of up to $100,000 thousand until its expiration in December 2027. As of December 31, 2024, a portion of the facility had been utilized by other eligible affiliates and the unused facility capacity was $50,000 thousand. The facility includes customary representations and warranties, covenants, and events of default.

*Intercompany Liquidity Agreement*

The Company entered into an intercompany liquidity agreement that allows the Company and other affiliates to lend or borrow funds to meet short term liquidity and other capital needs.

During the year ended December 31, 2024, FGP and Fortitude International Group Services ("FIGS") repaid $50,000 thousand and $2,500 thousand, respectively, towards the loan balances outstanding from 2023. As of December 31, 2024, FGP and FIGS had outstanding loan balances with the Company of $175,000 thousand and $2,500 thousand, respectively. The Company recorded interest income associated with these loans of $15,137 thousand within net investment income on the consolidated statements of income (loss) during the year ended December 31, 2024. As of December 31, 2024, the Company recorded a receivable of $2,168 thousand for the interest income on these loans within other assets on the consolidated balance sheet.

During the year ended December 31, 2023, the Company borrowed $64,950 thousand AUD from Fortitude Group Holdings, LLC, a wholly owned subsidiary of FGP. The Company repaid this loan in full during 2023. The Company recorded interest expense associated with this loan of $629 thousand AUD within general operating and other expenses on the consolidated statements of income (loss).

During the year ended December 31, 2023, the Company lent $225,000 thousand, $5,000 thousand, and $5,000 thousand to FGF, FIGS, and FIGH, respectively, of which $5,000 thousand was repaid by FIGH during 2023. The Company recorded interest income associated with these loans of $2,963 thousand within net investment income on the consolidated statements of income (loss) during the year ended December 31, 2023. As of December 31, 2023, the Company recorded a receivable of $2,526 thousand for the interest income on these loans within other assets on the consolidated balance sheet.

## 11. Contingencies and Commitments

### Litigation and Regulatory Matters

As of December 31, 2024 and 2023, the Company has no material contingent liabilities arising from litigation, make-whole fee conditions or other matters, other than liabilities arising in the normal course of its business of reinsurance.

### Commitments

The Company has commitments to purchase or fund investments, mostly private credit fixed maturity securities, mortgage loans and alternative investments. The following amounts include unfunded commitments that are not unconditionally cancellable. As of December 31, 2024 and 2023, these commitments include unfunded commitments of $709,436 thousand and $521,956 thousand, respectively, associated with investments managed by affiliates of Carlyle, a related party. See Note 13 for further information regarding related party investments.

In addition, as of December 31, 2024 the outstanding balance on commitments for private credit fixed maturity securities, mortgage loans and alternative investments managed by unaffiliated counterparties was $150,814 thousand. The Company did not have any outstanding balance on commitments for private credit fixed maturity securities, mortgage loans and alternative investments managed by unaffiliated counterparties as of December 31, 2023.

## 12. Income Taxes

Under current Bermuda law, the Company is not required to pay any taxes in Bermuda on income or capital gains. The Company has received an undertaking from the Minister of Finance in Bermuda that in the event of any such taxes being introduced the Company will be exempted from taxation until the year 2035. The Company did not make an election under Section 953(d) of the U.S. Internal Revenue Code to be treated as a U.S. domestic insurance company for U.S. tax purposes. While the Company constitutes a controlled foreign corporation for U.S. tax purposes through its constructive ownership by Fortitude Group Holdings LLC, a direct subsidiary of FGP, there will be no amount of gross income treated as U.S. taxable income.

In 2023, the Bermuda Parliament passed legislation enacting a 15% corporate income tax (“CIT”) regime that will become effective for tax years beginning on or after January 1, 2025. The Bermuda income tax rules are intended to align as closely as possible to the Organization for Economic Cooperation and Development’s global anti-base erosion rules. Effective for fiscal years beginning on or after January 1, 2025, certain groups with a limited international footprint are eligible for a five-year deferral, extending the effective date to January 1, 2030. The Company is eligible for this deferral. In addition, certain elections and economic transition adjustments are available to support a fair and equitable transition into the Bermuda CIT regime. Based on the Company’s current profile and the likelihood of not being subject to the Bermuda CIT for some time after the deferral period ends, the Company will continue to evaluate the need for and availability of these elections and transition adjustments. There are no implications with respect to the Bermuda CIT for the years ended December 31, 2024 and 2023.

## 13. Related Party Transactions

The Company has transactions and relationships with affiliates. Although the Company seeks to ensure that these transactions and relationships are fair and reasonable, it is possible that the terms of these transactions are not the same as those that would result from transactions among unrelated parties.

See Note 10 for information regarding the Company's related party transactions under the intercompany liquidity agreement.

*Carlyle Affiliated Entities*

The Company maintains investment management agreements with Carlyle affiliates (collectively the "Investment Manager"), pursuant to which the Investment Manager provides certain investment management and advisory services with respect to certain asset classes. The Company recorded expenses related to these agreements of $2,255 thousand, $267 thousand and $0 for the years ended December 31, 2024, 2023 and 2022, respectively, that are included within net investment income within the consolidated statements of income.

The Company invests in limited partnerships where a Carlyle affiliate is the general partner of the funds managed by Carlyle affiliates. The Company's investments in funds and other structured investments managed by Carlyle were valued at $920,455 thousand and $45,486 thousand as of December 31, 2024 and 2023, respectively, and were primarily of private credit fixed income securities and limited partnership interests. The Company recorded net investment income related to these investments of $71,940 thousand, $1,226 thousand and $0 for the years ended December 31, 2024, 2023 and 2022, respectively.

*T&D Affiliated Entities*

On March 15, 2024, the Company entered into a flow reinsurance agreement with an affiliate of T&D, whereby the Company assumed a quota share of JPY denominated single premium deferred annuities issued to the Japanese market under a coinsurance basis.

On March 31, 2023, the Company entered into a reinsurance agreement with an affiliate of T&D, whereby the Company assumed a quota share of JPY denominated fully paid up WL products issued to the Japanese market under a coinsurance basis.

On March 31, 2023, the Company entered into a reinsurance agreement with an affiliate of T&D, whereby the Company assumed a quota share of USD denominated SPWL products issued to the Japanese market under a coinsurance basis.

On October 1, 2022, the Company entered into a flow reinsurance agreement with an affiliate of T&D, whereby the Company assumed a quota share of USD and AUD denominated SPWL products issued to the Japanese market under a coinsurance basis.

The Company reported the following assumed balances in the consolidated balance sheets in connection with these reinsurance agreements as of December 31, (in thousands):

| | 2024 | 2023 |
|---|---|---|
| Other assets | $ 63,055 | $ 27,986 |
| DAC | 97,285 | 81,459 |
| Future policy benefits | 923,732 | 1,066,884 |
| Policyholder contract deposits | 3,939,832 | 3,008,105 |
| Reinsurance payable | 127,158 | 43,485 |

For the year ended December 31, 2023, the Company paid $7,600 thousand to an affiliate of T&D, for a one-time advisory fee paid for assistance with opportunities in the Japanese insurance sector that are included in general operating and other expenses within the consolidated statements of income (loss).

*Expense Charges and Allocations*

The Company has entered into service agreements with affiliates for services necessary to conduct its activities. In accordance with the service agreements, a portion of the Company's expenses are allocations or charges from Fortitude Group Services ("FGS") and FIGS which are indirect wholly-owned subsidiaries of FGP. These expenses primarily relate to general and administrative expenses which include personnel and facilities usage, general management services and investment management services. When specific identification to a particular legal entity is not practicable, an allocation methodology is used. The majority of the expenses are allocated based on the following methodologies: headcount, investments under management, reserves and time studies. The allocation methodology is reviewed periodically and may be adjusted accordingly.

During the year ended December 31, 2024, the Company was allocated $12,704 thousand and $2,943 thousand of costs for these services from FGS and FIGS, respectively. During the year ended December 31, 2023, the Company was allocated $1,838 thousand and $0 of costs for these services from FGS and FIGS, respectively. During the year ended December 31, 2022, the Company was allocated $1,101 thousand and $197 thousand of costs for these services from FGS and FIGS, respectively.

As of December 31, 2024, the Company recorded payables of $3,883 thousand and $347 thousand to FGS and FIGS, respectively, for invoices not yet settled within other liabilities on the consolidated balance sheet. As of December 31, 2023, the Company recorded payables of $718 thousand and $0 to FGS and FIGS, respectively, for invoices not yet settled within other liabilities on the consolidated balance sheet.

*Affiliated Asset Transfers*

The Company may participate in asset transfers with affiliates. Book and market value differences for trades with the Company and affiliates are recognized within investment gains (losses) on the consolidated statement of income (loss). The table below shows affiliated asset trades for the year ended December 31, 2024, (in thousands):

| Affiliate | Transaction | Security Type | Fair Value | Book Value | Investment Gains (Losses), net |
|---|---|---|---|---|---|
| Grove Funding III, Inc. | Purchase | RMBS | $ 69,087 | $ 69,087 | $ — |
| Fortitude Reinsurance Investments, LLC ("FRI") | Purchase | RMBS | 17,876 | 17,876 | — |
| FRI | Purchase | RMBS | 6,051 | 6,051 | — |

The table below shows affiliated asset trades for the year ended December 31, 2023, (in thousands):

| Affiliate | Transaction | Security Type | Fair Value | Book Value | Investment Gains (Losses), net |
|---|---|---|---|---|---|
| Fortitude Reinsurance Company Ltd. ("FRL") | Purchase | CMBS | $ 2,495 | $ 2,495 | $ — |
| FRL | Purchase | CMBS | 3,699 | 3,699 | — |
| FRL | Purchase | CMBS | 1,593 | 1,593 | — |
| FRL | Purchase | CMBS | 2,555 | 2,555 | — |
| FRL | Purchase | CMBS | 8,662 | 8,662 | — |
| FRL | Purchase | CMBS | 864 | 864 | — |
| FRL | Purchase | CMBS | 9,421 | 9,421 | — |
| FRL | Purchase | CMBS | 3,920 | 3,920 | — |

## 14. Shareholder's Equity

As of December 31, 2024 and 2023, the Company has issued 1,250,000 shares, of which, 100% were owned by FIL.

The Company did not receive any capital contributions during the year ended December 31, 2024. The Company received a capital contribution from the Former Parent of $365,000 thousand on March 28, 2023.

The Company did not declare or pay any dividends to FIGH, nor following FIGH's dissolution (Note 1), to FIL, it's immediate parent, during the years ended December 31, 2024 and 2023.

The following table shows the balance and changes in each component of AOCI for the years ended December 31, 2024, 2023 and 2022 (in thousands):

| | Unrealized Investment Gains (Losses) | Total Accumulated Other Comprehensive Income (Loss) |
|---|---|---|
| **Balance, December 31, 2022** | $ — | $ — |
| Change in OCI | 13,065 | 13,065 |
| **Balance, December 31, 2023** | 13,065 | 13,065 |
| Change in OCI | (4,934) | (4,934) |
| **Balance, December 31, 2024** | **$ 8,131** | **$ 8,131** |

In conjunction with the preparation of the 2024 financial statements, Management identified a typographical error in the 2023 shareholder's equity note related to the presentation of the unrealized investment gains (losses) and total AOCI which was denoted with a parenthetical representing a loss instead of a gain. The error was determined to be immaterial to the consolidated financial statements and revised accordingly.

## 15. Statutory Requirements

Under the Bermuda Insurance Act, the Company is registered as a Class 4 and Class E composite reinsurance company. The Company is subject to the following statutory reporting requirements.

1. Statutory financial statements (“SFS”): The SFS framework is consistent with U.S. GAAP reporting requirements adjusted for prudential filters. These adjustments include the elimination of non-admitted assets not considered admissible for solvency purposes, the inclusion of certain assets and liabilities that are generally off-balance sheet under U.S. GAAP and adjustments for directions or permitted practices by the BMA. The Company has obtained permission under Section 6C of the Bermuda Insurance Act to value the fixed maturity securities investment portfolios pertaining to long-term business at amortized cost rather than fair value within the SFS.
2. Economic Balance Sheet (“EBS”): Under the EBS framework, assets and liabilities are mainly valued and reported at fair value, with the insurer’s U.S. GAAP balance sheet serving as a starting point. The EBS also requires insurers to estimate insurance technical provisions, which consist of the Company's insurance reserve related balances valued based on a best estimate liability assumptions plus a risk margin. The best estimate liability may be calculated by applying the scenario based approach or standard approach. Under the scenario based approach the discount rate for insurance reserves is based on the yield on eligible assets owned by the insurer as determined under the worst result of eight prescribed stressed conditions. Under the standard approach the discount rate for insurance reserves is a rate prescribed by the BMA.

The Company is subject to capital requirements calculated using the Bermuda Solvency and Capital Requirement ("BSCR") model, which is a standardized statutory risk-based capital model used to measure the risk associated with the Company's assets, liabilities and premiums as valued under EBS. Required statutory economic capital and surplus under the BSCR model is referred to as the enhanced capital requirement ("ECR"), which is the greater of the BSCR and minimum margin of solvency ("MSM"). The Company is required to calculate and submit a quarterly financial return, inclusive of the ECR, on a quarterly basis and a statutory financial return and capital and solvency return, inclusive of the ECR, on an annual basis. Following receipt of the submission of these returns, the BMA has the authority to impose additional capital requirements if it deems necessary. As of December 31, 2024 and 2023, the Company met the minimum statutory reporting and capital requirements.

While not specifically referred to in the Bermuda Insurance Act, the target capital level (“TCL”) is also an important threshold for statutory economic capital and surplus. The TCL is equal to 120% of ECR as calculated pursuant to the BSCR formula. The TCL serves as an early warning tool for the BMA. If the Company fails to maintain statutory

economic capital and surplus at least equal to the TCL, such failure will likely result in increased regulatory oversight by the BMA. As of December 31, 2024 and 2023, the Company met the minimum statutory requirements.

The statutory capital and surplus reported in the Company's SFS as of December 31, (in thousands) is detailed below.

| | 2024 | 2023 |
|---|---|---|
| Statutory capital and surplus | $ 690,272 | $ 615,371 |

Under the Bermuda Insurance Act, the Company is prohibited from declaring or paying a dividend if it were in breach of their respective minimum solvency margin or liquidity ratio or if the declaration or payment of such dividends would cause the Company to fail to meet such margin or ratio. The Company is prohibited from declaring or paying in any fiscal period, dividends of more than 25% of its total statutory capital and surplus, as set out in its previous year’s statutory financial statements, unless the Company files with the BMA a signed affidavit by at least two members of its Board of Directors attesting that a dividend would not cause the Company to fail to meet its relevant requirements. The Bermuda Insurance Act further prohibits the Company from reducing its prior period statutory capital by 15% or more without prior approval of the BMA. As the Company reinsures run-off business, the Company is required to seek BMA approval for any dividends or distributions.

## 16. Subsequent Events

The Company has evaluated the impact of subsequent events through April 25, 2025, the date at which the consolidated financial statements were available to be issued and determined there are no items to disclose, except for the below transaction.

On March 18, 2025, the Company entered into a reinsurance agreement with an affiliated Japanese life insurance company. The reinsurance agreement provides for the Company to assume a block of fully paid up whole life annuity policies, issued into the Japanese market and denominated in JPY.